

Notes: Graham, Harvey, and Puri (JFE, 2015)
Capital Allocation and Delegation of Decision-Making Authority within Firms

Contents

1	Big picture	3
2	Incremental contribution of the paper	3
3	Data and measurement	4
3.1	Survey sample	4
3.2	Delegation variables	4
3.3	Capital allocation rules	5
3.4	CEO and firm characteristics	5
4	Models and empirical specifications	6
4.1	Delegation magnitude by policy	6
4.2	Stacked ordered logit with common coefficients	6
4.3	Policy-group ordered logit	6
4.4	Capital allocation decision-rule analysis	7
5	Identification and empirical design	7
5.1	What the paper can identify	7
5.2	Why the survey evidence is useful	7
5.3	Main threats and limitations	8
6	Tables and figures	8
6.1	Table 1: Company and CEO characteristics	8
6.2	Table 2: Correlations between explanatory variables	9
6.3	Figure 1: Delegation of corporate finance decisions	9
6.4	Table 3: Magnitude of CEO and CFO delegation	10
6.5	Table 4: Delegation regressions with common coefficients across policies	11
6.6	Table 5: CEO delegation grouped by informational needs	12
6.7	Figures 2 and 3: Decision criteria for capital allocation	14
6.8	Table 6: Capital allocation decision rules	15
6.9	Table A1: Comparing the survey sample to Compustat	16

7	Short summary	17
8	Conclusion	17
8.1	Core conclusion	17
8.2	Economic intuition	18
8.3	Incremental contribution revisited	18
8.4	Implications for corporate finance	18
8.5	Implications for internal capital markets	18
8.6	Limitations	18
8.7	Takeaway	18

1 Big picture

- **Question.** How are major corporate finance decisions actually made inside firms, and under what conditions do CEOs delegate decision-making authority to other managers?
- **Setting.** The paper uses a large anonymous survey of senior executives: more than 1,000 U.S. CEOs, more than 500 U.S. CFOs, and approximately 800 Asian and European executives. The survey asks who has the most input in five major corporate policies and how firms allocate capital across divisions.
- **Policies studied.** The five policies are capital structure, payout, mergers and acquisitions, capital investment, and capital allocation across divisions.
- **Core result 1: delegation is not monolithic.** Delegation varies across policies inside the same firm. CEOs dominate M&A most, while they delegate capital allocation and investment more, consistent with the idea that those policies require more information from lower levels of the organization.
- **Core result 2: people matter.** CEOs delegate less when they are more knowledgeable, as proxied by longer tenure, finance/accounting background, or an MBA. This means corporate policy is not only determined by firm characteristics; the identity and experience of the CEO matter.
- **Core result 3: overload matters.** Delegation increases in larger and more complex firms, especially firms with more operating segments. Delegation also rises for capital allocation and investment when firms have recently completed multiple acquisitions, suggesting CEO distraction or overload.
- **Core result 4: capital allocation is partly informal.** NPV ranking is the most important rule, but managers also rely heavily on divisional manager reputation, manager confidence, cash-flow timing, and senior management's "gut feel."
- **International comparison.** Asian and European executives report more importance of corporate politics and balanced allocation across divisions than U.S. executives.
- **Economic takeaway.** The paper opens the black box of corporate finance. Delegation and capital allocation are shaped by information needs, CEO knowledge, organizational complexity, and informal human judgments.

2 Incremental contribution of the paper

- **From firm-level policies to within-firm decision rights.** Much corporate finance research observes firm outcomes, such as leverage or investment, but not who made the decision. This paper directly measures the internal allocation of decision-making authority.
- **A direct test of delegation theories.** The paper maps survey responses to predictions from Aghion and Tirole, Harris and Raviv, and related organizational economics models: CEOs should delegate more when they need employee information or face overload, and less when their own knowledge is valuable.

- **Policy-by-policy evidence.** Unlike theories or empirical work that treats delegation as a single firm-wide choice, the paper shows that the extent and determinants of delegation differ across M&A, payout, capital structure, investment, and capital allocation.
- **CEO characteristics as explanatory variables.** The analysis brings personal CEO characteristics into the study of delegation: tenure, finance career, MBA status, age, and incentive compensation.
- **Private-firm evidence.** The sample contains many private firms. This is valuable because most corporate finance evidence relies on public firms, even though private firms are economically important.
- **Capital allocation microfoundations.** The paper provides rare evidence on how headquarters allocates investment dollars across divisions, including nonstandard criteria such as manager reputation, confidence, gut feel, politics, and corporate socialism.
- **Bridge between corporate finance and organizational economics.** The paper connects finance decisions to internal hierarchy, information production, monitoring costs, CEO overload, and relational considerations.

3 Data and measurement

3.1 Survey sample

- The main survey was conducted in early 2006.
- The authors surveyed CEOs through Chief Executive magazine, CFO magazine, and a small group of executives linked to the Davos World Economic Forum.
- They also surveyed CFOs in the United States, Europe, and Asia.
- The main U.S. CEO sample contains 1,017 CEOs, though regressions use fewer observations because not all executives answered every question.
- The U.S. CEO sample is dominated by private firms: Table 1 reports that about 88.5% of firms are private.
- Mean sales are \$551 million and median sales are \$62 million, indicating that the sample contains many smaller private firms as well as some large companies.

Interpretation: The survey design is valuable because decision rights are usually unobservable in archival data. The main limitation is that the data are self-reported and anonymous, so the authors cannot directly link each response to subsequent firm outcomes.

3.2 Delegation variables

- For each major policy, executives are asked: “Amongst the management team, who has the most input in the following policies?”
- The response scale runs from 1 to 7.
- A response of 1 means the executive makes the decision without input from others.

- A response of 7 means others make the decision.
- For the regression analysis, the authors group responses into three buckets: low delegation, medium delegation, and high delegation.
- The five policies are M&A, capital structure, payout, capital allocation, and capital investment.

Interpretation: The variable measures real authority or decision input, not just formal job titles. It asks whether the CEO shares or transfers control of a decision to other members of the management team.

3.3 Capital allocation rules

- The paper asks executives how important ten criteria are for allocating capital across divisions.
- The criteria include NPV ranking, manager reputation, manager confidence, cash-flow timing, market share, previous return, gut feel, internal versus external funding, corporate politics, and balanced allocation.
- Responses are measured on a 1-to-5 importance scale.
- The paper often converts the responses into an “important or very important” indicator, equal to 1 when the executive answers 4 or 5.

Interpretation: The capital allocation questions show that investment within firms is not governed by NPV alone. Headquarters uses both quantitative project information and soft information about people, credibility, reputation, and politics.

3.4 CEO and firm characteristics

- CEO characteristics include tenure, finance/accounting career background, MBA status, age, and variable compensation.
- Firm characteristics include size, number of operating segments, public/private status, industry, past growth, expected growth, debt ratio, and recent acquisitions.
- Size is often coded as an indicator for sales above \$1 billion.
- Complexity is proxied by whether the firm has more than two operating segments.
- Acquisition activity is measured by whether the firm made at least one acquisition, or multiple acquisitions, in the previous two years.

Interpretation: These variables are designed to proxy for three theoretical forces: CEO overload, CEO knowledge, and incentives to retain control.

4 Models and empirical specifications

4.1 Delegation magnitude by policy

The first descriptive exercise studies the distribution of delegation responses for each policy. The paper reports two simple extremes:

- The share of executives answering 1 or 2, meaning the executive dominates the decision.
- The share answering 6 or 7, meaning the executive has little involvement and the decision is largely delegated.

Interpretation: If delegation were purely firm-wide, the degree of delegation would be similar across policies. Instead, the descriptive statistics show meaningful policy-level differences.

4.2 Stacked ordered logit with common coefficients

Table 4 estimates a stacked ordered logit across the five policies. A simplified latent-index representation is

$$D_{ip}^* = X_i' \beta + \alpha_p + u_{ip},$$

where D_{ip}^* is the latent degree of delegation by CEO i for policy p , X_i includes firm and CEO characteristics, and α_p captures policy-specific cutoffs or policy differences.

- The dependent variable is the three-bucket delegation measure.
- Coefficients are constrained to be equal across the five policies.
- Standard errors are clustered by CEO.
- A positive coefficient means the variable increases the odds of being in a higher delegation bucket.

Interpretation: This specification identifies variables associated with a general tendency to delegate across corporate finance policies.

4.3 Policy-group ordered logit

Table 5 relaxes the common-coefficient restriction by grouping policies according to how much information the CEO is expected to need from lower-level employees:

- Group 1: M&A, where the CEO has the greatest informational advantage and should delegate least.
- Group 2: capital structure and payout, which are high-level financial policies with intermediate informational needs.
- Group 3: capital allocation and investment, where the CEO needs the most information from divisions and managers.

Conceptually, the model is

$$D_{ig}^* = X_i' \beta_g + u_{ig},$$

where the coefficients β_g are allowed to differ across the three policy groups.

Interpretation: This specification asks not only whether CEO tenure or firm size matters, but whether it matters more for policies where theory predicts CEO knowledge or lower-level information should be especially important.

4.4 Capital allocation decision-rule analysis

For each capital allocation rule r , the paper studies the mean importance rating and the share of executives giving the rule a 4 or 5. For example,

$$Important_{ir} = 1\{Rating_{ir} \geq 4\}.$$

- The analysis compares U.S. CEOs, U.S. CFOs, non-U.S. CEOs, and non-U.S. CFOs.
- The paper also examines a subset of firms for which external financing needs are important, which is intended to capture financial constraints.

Interpretation: The decision-rule analysis is descriptive but revealing. It shows the mix of formal finance rules and informal managerial judgments used in internal capital markets.

5 Identification and empirical design

5.1 What the paper can identify

- The paper identifies systematic associations between delegation and CEO characteristics, firm characteristics, and policy informational needs.
- It does not claim to estimate fully causal effects because the survey is cross-sectional and anonymous.
- The evidence is strongest as a set of stylized facts about the internal allocation of decision rights.

Interpretation: The paper is best read as direct measurement evidence that is tightly linked to theory, rather than as a randomized or quasi-experimental design.

5.2 Why the survey evidence is useful

- Standard financial statements do not reveal whether the CEO or lower-level managers made a decision.
- The survey directly asks executives about the decision process.
- The same executives answer about multiple policies, allowing within-executive comparisons across policies.
- The inclusion of private firms provides information about firms that are often missing from corporate finance data.

Interpretation: The key advantage is observability of internal decision processes. The key cost is reliance on self-reported perceptions.

5.3 Main threats and limitations

- Executives may misreport or misunderstand who has the most input.
- Respondents may not represent the full population of firms, even though the paper benchmarks the sample to Compustat.
- Delegation may be jointly determined with firm structure, CEO selection, or prior firm success.
- Because the survey is anonymous, the paper cannot directly connect delegation responses to realized investment efficiency or firm value.

Interpretation: These limitations do not eliminate the contribution. They mean the findings should guide theories and future empirical work rather than be read as final causal estimates.

6 Tables and figures

6.1 Table 1: Company and CEO characteristics

Read:

- Table 1 reports the basic demographics of the U.S. CEO sample.
- About 11.5% of firms are public, so the sample is mostly private.
- The mean firm has sales of \$551 million, but the median is only \$62 million, showing that the size distribution is highly skewed.
- The median firm has two operating segments and a 20% debt-to-assets ratio.
- Variable compensation is about 43% of total target compensation on average.
- About 16% of CEOs come from a finance/accounting career background, and about 35% have an MBA.

Economic message: The sample is broad and gives rare visibility into private firms. It also provides meaningful variation in CEO knowledge, tenure, compensation, and firm complexity, which are the core explanatory variables in the delegation tests.

Table 1
Company and CEO characteristics.

This table reports summary statistics for survey responses from US CEOs. Firm sales (size) are determined based on a survey question categorizing firm sales into seven size groups. Category midpoints are used to create the firm size variable reported here with the largest firms represented as \$12.5B in the mean and median below. Category 1 includes firms with sales less than \$25M, category 2 between \$25M and \$99M, category 3 between \$100M and \$499M, category 4 between \$500M and \$999M, category 5 between \$1B and \$4.9B, category 6 between \$5B and \$9.9B, and category 7 greater than \$10B. Public is an indicator for publicly listed firms. Past growth reflects average annual percentage change in sales revenue over the last three years. Expected growth reflects projected annual sales revenue growth over the next three years. Number of operating segments refers to the number of distinct operating divisions in the firm. Number of acquisitions reflects the number of material acquisitions the firm has made over the past two years. Executive compensation variables are target percentages of total compensation. Variable compensation consists of stock, options, and bonuses. Finance career is an indicator for executives who, prior to their current job, had work experience focused in financial and/or accounting fields. Tenure is the number of years the executive has been in his/her current position. MBA indicates whether the CEO has a masters of business administration degree. The number of responses varies by variable because not every CEO provided information for every question.

	N	Mean	Std. dev.	Min	Med	Max
Public (%)	785	11.5%	N/A	N/A	N/A	N/A
Sales (size) revenue (\$M)	961	551.0	1,819.3	12.5	62.0	12,500.0
Number of operating segments	1,001	2.2	1.4	1.0	2.0	12.0
Past growth (%)	948	22.2%	45.4%	-30.0%	12.0%	500.0%
Expected growth (%)	952	18.6%	19.2%	-5.0%	12.0%	99.0%
Debt-to-assets ratio (%)	811	26.6%	25.2%	0.0%	20.0%	100.0%
Number of acquisitions	872	0.7	1.5	0.0	0.0	9.0
Variable compensation (% of total)	795	42.9%	26.4%	0.0%	40.0%	100.0%
Salary (% of total compensation)	795	57.1%	26.4%	0.0%	60.0%	100.0%
Finance career	986	16.0%	36.7%	0.0%	0.0%	100.0%
Age	992	54.1	9.4	25.0	54.0	89.0
Tenure	1,011	10.4	8.4	0.5	8.0	56.0
MBA (%)	916	34.9%	47.7%	0.0%	0.0%	100.0%

Table 1: Company and CEO characteristics.

6.2 Table 2: Correlations between explanatory variables

Read:

- Table 2 reports correlations among the firm and CEO variables used in the regressions.
- Larger firms are more likely to be public and to have more operating segments.
- Variable compensation and salary are mechanically strongly negatively related because both are shares of total pay.
- CEOs with finance careers are more likely to have MBAs, and CEOs with MBAs tend to be younger and have shorter tenure.
- The correlations are meaningful but not so high as to make the regression design uninformative.

Economic message: The table shows that firm and CEO characteristics are related, but each captures a distinct dimension of the delegation problem. This motivates including them jointly in ordered logit regressions.

Table 2
Correlations between explanatory variables.

This table reports the correlations between both firms and executive characteristics for the main sample of US CEOs. Variables are defined in Table 1. Significance at the 10% level is denoted by *, at 5% by **, and 1% by ***.

	Public	Firm size	# of operating segments	Past growth	Expected growth	Debt-to-asset ratio	# of acquisitions	Variable comp.	Salary	Finance career	Age	Tenure
Firm size	0.371**											
# of operating segments	0.070**	0.232***										
Past growth	-0.060***	-0.035	-0.030									
Expected growth	-0.052	-0.059*	-0.098***	0.481***								
Debt-to-asset ratio	0.014	0.030	0.027	-0.051	-0.044							
# of acquisitions	0.072	0.115***	0.131**	0.052	0.056	-0.023						
Variable comp.	0.172***	0.174***	0.072***	0.021	0.096	-0.015	0.067					
Salary	-0.172***	-0.174***	-0.072***	-0.021	-0.096***	0.014	-0.067	-1.000***				
Finance career	-0.012	0.043	-0.024	-0.051**	0.009	0.126***	-0.069	0.110*	-0.110***			
Age	0.015	-0.001	0.047	-0.177***	-0.102***	0.005	-0.036	-0.107**	0.107***	-0.062*		
Tenure	-0.150***	-0.065**	0.019	-0.113**	-0.124**	0.004	-0.028**	-0.054***	0.054	-0.057*	0.465***	
MBA	0.005	-0.009	-0.064*	0.065	0.087**	0.020	-0.034	0.025	-0.025	0.172***	-0.150***	-0.106***

Table 2: Correlations between explanatory variables.

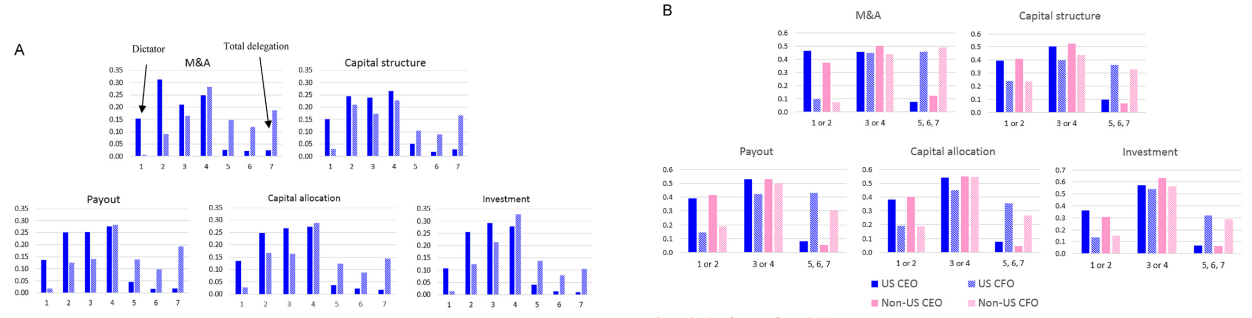
6.3 Figure 1: Delegation of corporate finance decisions

Read:

- Panel A compares U.S. CEOs and U.S. CFOs across the five policies.

- CEOs report the greatest dominance in M&A, while CFOs report stronger involvement in capital structure than in other policies.
- Panel B compares U.S. and non-U.S. executives. The broad pattern of policy-level differences is similar across regions.
- The figure makes clear that delegation is not one uniform firm-level choice. The same executive may retain control over one policy and share authority over another.

Economic message: The figure provides the central descriptive fact: CEOs delegate more when decisions require internal information from lower levels, especially capital allocation and investment, and less when the CEO has a strategic or external-information advantage, especially M&A.



(a) Figure 1, Panel A: U.S. CEOs and CFOs

(b) Figure 1, Panel B: U.S. and non-U.S. executives

Figure 1: Delegation of corporate finance decisions.

6.4 Table 3: Magnitude of CEO and CFO delegation

Read:

- Panel A reports the share of respondents who answered 1 or 2, meaning the executive dominates the decision.
- For U.S. CEOs, the domination share is highest for M&A at 46.5%.
- Capital structure and payout are slightly lower, around 39%.
- Capital allocation and investment are lower still, around 37%, consistent with higher need for lower-level input.
- Panel B reports near-complete delegation, with CEOs far less likely than CFOs to report little involvement.
- Panel C groups policies by informational needs and shows statistically distinct delegation patterns across the three groups.

Economic message: The table formalizes the main descriptive result. Delegation follows the ranking predicted by information needs: least delegation for M&A, intermediate delegation for payout and capital structure, and most delegation for capital allocation and investment.

Table 3

Magnitude of CEO and CFO delegation of corporate policies.

This table describes who within a company makes corporate decisions and how much these decisions are delegated. Survey participants are asked to rank on a scale of 1 = high to 7 = low their involvement in five different financial decisions. Panel A reports the percentage of participants who answered "1" or "2" indicating that an executive dominates a given corporate decision with little if any help from others. In other words, there is no delegation of decision making authority. Panel B reports the percentage of participants who answered "6" or "7," indicating that an executive has a minimal role in the given corporate decision. In other words, the decision is completely delegated to or made by others. The column labeled "Rank" presents the mean rank (of the values 0, 1, ..., 7) assigned by CEOs and CFOs for a given policy. In Panels A and B, significance between CEO and CFO responses at the 10% level is denoted by *, 5% by **, and 1% by ***. Panel C groups the data in Panel A by the information needs of a given policy, with CEOs needing the least informational input from lower-level employees in Group 1 (M&A). Significance (10% level) for a given group in Panel C is indicated by superscript numbers; for example, a "2.3" in the top row indicates that the Group 1 number is statistically different than the numbers for both Group 2 and Group 3. This analysis is based on responses from 950 US based CEOs and 525 US based CFOs.

Panel A: Respondents who answered "1" or "2" (executive dominates decision)						Panel B: Respondents who answered "6" or "7" (little involvement by executive)					
		US CEOs		US CFOs				US CEOs		US CFOs	
Corporate policies	Rank	%	Rank	%		Corporate policies	Rank	%	Rank	%	
Mergers & acquisitions	2.9	46.5	4.6	9.5***		Mergers & acquisitions	2.9	4.7	4.6	30.9***	
Capital structure	3.0	39.5	4.1	23.9***		Capital structure	3.0	4.7	4.1	25.6***	
Payout	3.0	38.7	4.5	14.3***		Payout	3.0	3.6	4.5	29.3***	
Capital allocation	3.0	38.1	4.2	19.2***		Capital allocation	3.0	4.2	4.2	23.2***	
Investment	3.0	36.3	4.1	13.8***		Investment	3.0	2.5	4.1	18.4***	
Panel C: % of respondents who answered "1" or "2" as in Panel A, with policies grouped by information needs											
Policy groups		US CEOs		US CFOs							
		%		%							
M&A (Group 1)		46.5 ^{2,3}		9.5 ^{2,3}							
Capital structure & payout (Group 2)		39.1 ^{1,3}		19.1 ^{1,3}							
Capital allocation & investment (Group 3)		37.2 ^{1,2}		16.5 ^{1,2}							

Table 3: Magnitude of CEO and CFO delegation of corporate policies.

6.5 Table 4: Delegation regressions with common coefficients across policies

Read:

- Table 4 estimates ordered logit regressions pooling all five policies and constraining coefficients to be the same across policies.
- Segments and size are positive and statistically significant, indicating more delegation in more complex and larger firms.
- The economic significance is large: moving to more than two segments increases the odds of higher delegation by roughly 49–58%; being large increases the odds by roughly 72–118% depending on specification.
- Tenure is negative and significant. Longer-tenured CEOs delegate less, consistent with CEO knowledge reducing the need to rely on others.
- Finance career and MBA status are also negative in some specifications, again consistent with more knowledgeable CEOs retaining authority.
- Public firms delegate more, conditional on size and other controls.

Economic message: Delegation rises when the CEO is likely overloaded and falls when the CEO is likely more informed. This is the main evidence connecting observed delegation to organizational theories of information and control.

Table 4
Delegation regressions constraining estimated coefficients to be equal across all five policies.

This table presents results from ordered logit regressions of US CEOs' delegation of decision authority on firm and executive characteristics. The specification includes a stacked system of five corporate policies, with dependent variables measuring degree of delegation in capital structure, M&A, payout, capital allocation, and capital investment decisions. In this table, the coefficient for any given variable is constrained to be equal across all five equations. Responses are on a scale of 1 to 7 with 1="I make the decision without the help from others" and 7="others make decision". For the dependent variable, this degree of delegation is split into 3 buckets: 0 (if the respondent answered 1 or 2), 1 (if the respondent answered 3 or 4), and 2 (if the respondent answered 5, 6, or 7). Variable compensation, Finance career, MBA and Public are as defined in Table 1. All other variables in this regression have been recoded as binary indicator variables. Segments take the value of 1 if the firm has more than two distinct operating units, while Size is 1 if the firm has annual sales revenue greater than \$1 billion. Tenure is 1 if time spent by the executive in current position is greater than the median of eight years. Expected growth is coded to 1 if reported projected annual sales revenue growth is in the upper 75th percentile of responses. Manufacturing and Tech are 1 if respondents' firms are in the manufacturing, or technology (software/biotechnology) industries respectively. Old is 1 if the respondents' age is greater than the median US CEO's age (54 years), and Acquisitions is 1 if the firm has acquired at least 1 company in the last 2 years. Multiple acquisitions is 1 if the company has acquired 2 or more companies in the last two years. A positive coefficient indicates that delegation increases as the explanatory variable increases. A positive coefficient indicates that delegation increases as the explanatory variable increases. The economic significance columns show the percentage increase or decrease in the odds of being in a higher bucket as the explanatory variable increases. Standard errors are clustered by CEO. Significance at the 10% level is denoted by *, 5% by **, and 1% by ***. T-statistics are provided in parentheses.

	Predicted sign	(1)	Economic significance	(2)	Economic significance	(3)	Economic significance
Segments	+	0.397*** (3.89)	48.77%	0.443*** (3.93)	55.67%	0.455*** (3.66)	57.60%
Size	+	0.781*** (3.49)	118.40%	0.752*** (2.80)	112.20%	0.543* (1.75)	72.20%
Tenure	-	-0.405*** (-4.09)	-33.30%	-0.409*** (-3.55)	-33.59%	-0.416*** (-3.33)	-34.03%
Expected growth	-	-0.227* (-1.85)	-20.32%	-0.186 (-1.34)	-17.00%	-0.069 (-0.45)	-6.67%
Variable compensation	+/-			-0.004 (-1.56)	-0.35%	-0.004* (-1.80)	-0.43%
Manufacturing	-			0.217 (1.60)	24.18%	0.097 (0.66)	10.20%
Tech	+			0.146 (0.81)	15.75%	0.063 (0.33)	6.46%
Finance career	-			-0.292* (-1.95)	-25.36%	-0.245 (-1.48)	-21.75%
Old	-			0.062 (0.55)	6.42%	0.109 (0.89)	11.51%
Acquisitions	+					-0.162 (-1.04)	-14.92%
Multiple acquisitions	+					0.303 (1.51)	35.33%
MBA	-					-0.279** (-2.21)	-24.33%
Public						0.323* (1.68)	38.08%
Observations		4613		3752		3185	
p-Value		< 0.01		< 0.01		< 0.01	
Chi-sq (df)		59.73 (4)		58.09 (9)		61.33 (13)	
Pseudo R ²		2.1%		2.4%		2.9%	

Table 4: Delegation regressions constraining estimated coefficients to be equal across all five policies.

6.6 Table 5: CEO delegation grouped by informational needs

Read:

- Table 5 allows coefficients to differ across policy groups.
- Group 1 is M&A, where the CEO is expected to need the least input from lower-level employees.
- Group 2 is capital structure and payout.
- Group 3 is capital allocation and investment, where the CEO is expected to need the most input.
- Size and segments are generally positive across groups, indicating that overload increases delegation broadly.
- Tenure has the strongest negative effect for M&A and capital structure/payout, but a smaller and weaker effect for capital allocation/investment.
- Multiple acquisitions strongly increase delegation for Group 3, consistent with CEOs being distracted or overloaded by post-acquisition integration.

Economic message: CEO knowledge matters most when the decision is one where the CEO has

a comparative informational advantage. For policies that rely heavily on divisional information, such as capital allocation and investment, lower-level input remains important even when the CEO is experienced.

	← smaller						Across groups, CEO's need for input from employees is ...				
	Group 1 (Merger & acquisition)						Group 2 (Capital structure & payout)				
	(1)	Econ. sig.	(2)	(3)	Econ. sig.		(1)	Econ. sig.	(2)	(3)	Econ. sig.
Segments	0.285** (2.03)	33.02%	0.263* (1.70)	0.369** (2.17)	44.63%	Segments	0.519*** (4.28)	67.99%	0.588*** (4.34)	0.623*** (4.02)	86.52%
Size	0.535*** (2.98)	70.71%	0.701*** (3.25)	0.512** (2.09)	66.89%	Size	0.727*** (4.38)	107.0%	0.685*** (3.40)	0.508** (2.16)	66.23%
Tenure	-0.595*** (-4.44)	-44.83%	-0.612*** (-3.90)	-0.585*** (-3.44)	-44.27%	Tenure	-0.526*** (-4.55)	-40.91%	-0.557*** (-4.06)	-0.569*** (-3.72)	-43.38%
Expected growth	-0.487*** (-2.63)	-38.52%	-0.485** (-2.33)	-0.248 (-1.12)	-21.94%	Expected growth	-0.178 (-1.21)	-16.31%	-0.149 (-0.89)	-0.092 (-0.48)	-8.80%
Variable compensation			-0.005 (-1.53)	-0.004 (-1.17)	-0.38%	Variable compensation			-0.002 (-0.88)	-0.004 (-1.27)	-0.36%
Manufacturing			0.176 (0.90)	-0.006 (-0.03)	-0.62%	Manufacturing			0.144 (0.82)	-0.037 (-0.19)	-3.63%
Tech			-0.026 (-0.10)	-0.073 (-0.26)	-7.03%	Tech			0.025 (0.12)	-0.073 (-0.33)	-7.06%
Finance career			-0.354* (-1.68)	-0.348 (-1.53)	-29.39%	Finance career			-0.243 (-1.35)	-0.199 (-0.96)	-18.03%
Old			-0.102 (-0.63)	-0.087 (-0.50)	-8.38%	Old			0.188 (1.36)	0.258* (1.69)	29.41%
Acquisitions				-0.161 (-0.78)	-14.88%	Acquisitions				-0.054 (-0.27)	-5.274%
Multiple acquisitions				-0.069 (-0.26)	-6.70%	Multiple acquisitions				0.121 (0.48)	12.83%
MBA				-0.074 (-0.44)	-7.16%	MBA				-0.219 (-1.41)	-19.67%
Public				0.458 (1.63)	58.13%	Public				0.291 (1.24)	33.82%
Observations	4613		3752	3185		Observations	4613		3752	3185	
Coeffs sig. diff. from Gro up 1	***		***	**		Coeffs sig. diff. from Gro up 1	***		***	**	
Coeffs sig. diff. from Gro up 2	***		***	**		Coeffs sig. diff. from Gro up 2	***		***	**	
Coeffs sig. diff. from Gro up 3	***		***	**		Coeffs sig. diff. from Gro up 3	***		***	**	

(a) Table 5, Group 1: M&A

(b) Table 5, Group 2: capital structure and payout

Table 5: Delegation grouped by informational needs, Groups 1 and 2.

	larger →				
	Group 3 (Capital allocation & investment)				
	(1)	Econ. sig.	(2)	(3)	Econ. sig.
Segments	0.327*** (2.75)	38.70%	0.356*** (2.68)	0.309** (2.15)	36.26%
Size	0.645*** (3.81)	90.52%	0.675*** (3.28)	0.607*** (2.60)	83.41%
Tenure	−0.222* (−1.95)	−19.88%	−0.191 (−1.40)	−0.204 (−1.40)	−18.48%
Expected growth	−0.153 (−1.05)	−14.20%	−0.078 (−0.47)	0.049 (0.27)	5.05%
Variable compensation			−0.004* (−1.67)	−0.006** (−1.99)	−0.55%
Manufacturing			0.283* (1.71)	0.245 (1.40)	27.72%
Tech			0.368* (1.65)	0.289 (1.23)	33.51%
Finance career			−0.327* (−1.93)	−0.237 (−1.25)	−21.12%
Old			−0.002 (−0.01)	0.040 (0.28)	4.12%
Acquisitions				−0.253 (−1.42)	−22.38%
Multiple acquisitions				0.580** (2.46)	78.59%
MBA				−0.468*** (−3.20)	−37.37%
Public				0.209 (0.91)	23.20%
Observations	613		3752	3185	
Coeffs sig. diff. from Gro	***		***	**	
Coeffs sig. diff. from Gro	***		***	**	
Coeffs sig. diff. from Gro	—		—	—	

Table 5, Group 3: capital allocation and investment.

6.7 Figures 2 and 3: Decision criteria for capital allocation

Read:

- Figure 2 shows U.S. CEO responses. NPV ranking is the most common important criterion, at about 79%.
- Manager reputation, manager confidence, and cash-flow timing are also cited by large majorities of U.S. CEOs.
- Nearly half of U.S. CEOs say that senior management's gut feel is important.
- Figure 3 compares U.S. and non-U.S. executives. Non-U.S. executives place more weight on previous return, cash-flow timing, corporate politics, and balanced allocation.

Economic message: Formal finance matters, but it does not fully describe internal capital markets. Capital allocation is a human process that uses soft information about divisional managers, project credibility, timing, and politics.

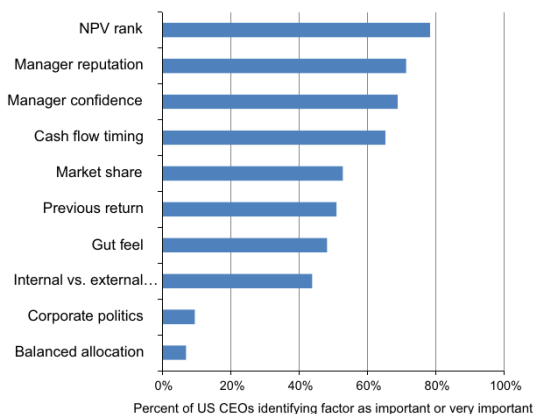
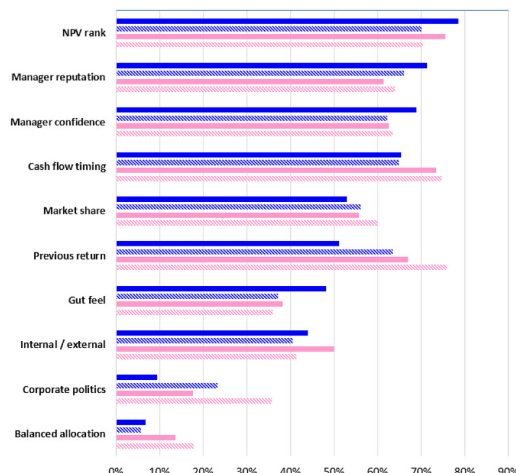


Fig. 2. Decision criteria for capital allocation – US CEOs. Survey evidence on the factors that affect capital allocation decisions within a firm. The responses in this graph are for more than 1,000 US CEOs. Respondents ranked the importance of each factor on a scale of 1–5, with 1 being not important at all and 5 being very important. A factor is deemed to be “important” to a respondent if the ranking was a 4 or 5.

(a) Figure 2: U.S. CEOs



(b) Figure 3: U.S. and non-U.S. executives

Figures 2 and 3: Capital allocation decision criteria.

6.8 Table 6: Capital allocation decision rules

Read:

- Panel A reports all respondents. U.S. CEOs rank NPV first, followed by manager reputation, manager confidence, and cash-flow timing.
- U.S. CFOs place relatively more weight than CEOs on previous returns and corporate politics.
- Non-U.S. CEOs and CFOs are more likely than U.S. executives to report that corporate politics and balanced allocation matter.
- Panel B focuses on respondents who say the need for external funds is important. In this subsample, cash-flow timing becomes especially important.
- For U.S. CEOs in Panel B, 79.5% say cash-flow timing is important, compared with 65.3% in the full sample.

Economic message: The results are consistent with financial constraints shaping internal capital allocation. When external financing needs matter, the timing of cash flows becomes more important. The table also shows that internal capital markets differ across regions: politics and balanced allocation matter more outside the United States.

	US CEO		US CFO	
	Mean	% impt	Mean	% impt
NPV rank	3.9	78.6%	3.7	70.1%***
Manager reputation	3.8	71.3%	3.6	66.0%*
Manager confidence	3.8	68.8%	3.6	62.2%**
Cash flow timing	3.7	65.3%	3.7	64.9%
Market share	3.4	52.9%	3.4	56.0%
Previous return	3.5	51.2%	3.7	63.5%***
Gut feel	3.3	48.2%	3.1	37.1%***
Internal/external	3.2	43.9%	3.0	40.4%
Corporate politics	1.9	9.5%	2.7	23.3%***
Balanced allocation	1.7	6.9%	1.8	5.8%

(a) Table 6, Panel A: U.S. CEO and U.S. CFO

	NON US CEO		NON US CFO	
	Mean	% impt	Mean	% impt
NPV rank	3.8	75.6%	3.8	70.4%
Manager reputation	3.6	61.3%**	3.6	64.0%
Manager confidence	3.8	62.6%	3.7	63.4%
Cash flow timing	4.0	73.4%	3.9	74.7%***
Market share	3.5	55.7%	3.6	60.0%
Previous return	3.9	66.9%***	4.0	75.9%***
Gut feel	3.2	38.2%*	3.0	35.9%
Internal/external	3.4	50.0%	3.2	41.3%
Corporate politics	2.5	17.7%***	3.1	35.8%***
Balanced allocation	2.2	13.6%**	2.4	17.9%***

(b) Table 6, Panel A: non-U.S. CEO and non-U.S. CFO

Table 6, Panel A: Capital allocation rules for all respondents.

	Mean	% impt	Mean	% impt	N
NPV rank	4.1	83.2%	3.9	74.6%**	
Manager reputation	3.9	76.1%	3.9	76.2%	
Manager confidence	3.9	69.9%	3.7	65.0%	
Cash flow timing	4.0	79.5%	4.0	77.5%	
Market share	3.4	55.0%	3.4	58.0%	
Previous return	3.5	48.8%	3.7	63.9%***	
Gut feel	3.5	54.3%	3.2	40.9%***	
Internal/external	2.0	9.9%	2.8	23.2%***	
Corporate politics	1.9	10.7%	1.9	7.7%	

(a) Table 6, Panel B: U.S. CEO and U.S. CFO

	Mean	% impt	Mean	% impt
NPV rank	4.2	93.5%*	3.9	74.9%
Manager reputation	3.9	75.8%	3.7	70.4%
Manager confidence	3.9	64.5%	3.8	68.1%
Cash flow timing	4.2	88.7%	4.1	84.5%*
Market share	3.7	62.9%	3.7	63.8%
Previous return	4.0	71.0%***	4.1	78.8%***
Gut feel	3.3	45.2%	3.2	38.7%
Internal/external	2.4	21.0%**	3.1	39.2%***
Corporate politics	2.4	19.4%**	2.6	24.5%***

(b) Table 6, Panel B: non-U.S. CEO and non-U.S. CFO

Table 6, Panel B: Capital allocation rules when external funding needs are important.

6.9 Table A1: Comparing the survey sample to Compustat

Read:

- Table A1 benchmarks the survey sample against Compustat using survey-style variable definitions.
- Panel A shows that the full survey sample contains many smaller firms than Compustat, which is expected because the survey contains many private firms.
- Debt/assets and historical growth are more comparable to the Compustat universe.
- Panel B restricts to the public survey firms and shows a size distribution closer to Compustat.

Economic message: The table addresses representativeness. The full sample is intentionally richer in private firms than standard public-firm databases, while the public-firm subsample looks more comparable to Compustat.

Table A1

Comparing the survey sample to Compustat.

This table compares the survey sample of the firms under the management of US CEOs to the Compustat universe using survey variable definitions. The survey data are matched against the 2005 annual Compustat data because our survey was conducted in early 2006, which should reflect 2005 financials. Sales are represented by seven size categories. Category 1 includes firms with sales less than \$25M, category 2 between \$25M and \$99M, category 3 between \$100M and \$499M, category 4 between \$500M and \$999M, category 5 between \$1B and \$4.9B, category 6 between \$5B and \$9.9B, and category 7 includes firms with \$10B or above in sales. Debt-to-assets ratio, payout ratio (dividends as a fraction of earnings), and historical growth (average annual percentage change in sales revenue over the last three years) are reported by the US CEO survey respondent. Sample % shows the percentage of survey firms falling in a given Compustat quintile. Due to the frequency of similar responses to payout ratio, breaking the survey sample and Compustat sample into five quintiles was not possible. From our sample, responses for payout ratio corresponded to only two Compustat buckets.

Panel A Comparison to Compustat universe using survey variable definitions(all survey firms)		Sample average	Sample median	Compustat breakpoint quintiles				
Variable				1	2	3	4	5
Sales	Universe avg.	2.2	2.0	1.0	1.7	2.8	3.9	5.7
	Sample avg.			1.0	2.0	3.0	4.5	6.6
	Sample %			40.6	26.8	20.4	9.3	2.9
Debt/Assets	Universe avg.	0.3	0.2	0.0	0.0	0.2	0.3	1.0
	Sample avg.			0.0	0.1	0.2	0.3	0.7
	Sample %			19.8	17.2	16.3	22.7	24.1
Payout ratio	Universe avg. (%)	21.3	0.0			0.0		55.6
	Sample avg. (%)					0.0		41.7
	Sample %					50.2		49.8
Historical growth	Universe avg.	0.3	0.1	-0.2	0.0	0.1	0.2	1.7
	Sample avg.			-0.2	0.0	0.1	0.2	1.0
	Sample %							

(a) Table A1, Panel A: all survey firms

Panel B Comparison to Compustat universe using survey variable definitions(90 public survey firms)		Sample average	Sample median	Compustat breakpoint quintiles				
Variable				1	2	3	4	5
Sales	Universe avg.	3.5	3.0	1.0	1.7	2.8	3.9	5.7
	Sample avg.			1.0	2.0	3.0	4.7	6.6
	Sample %			11.4	17.7	27.8	30.4	12.7
Debt/Assets	Universe avg.	0.3	0.3	0.0	0.0	0.2	0.3	1.0
	Sample avg.			0.0	0.1	0.2	0.3	0.7
	Sample %			18.8	18.8	11.6	30.4	20.3
Payout ratio	Universe avg. (%)	19.1	5.0			0.0		46.2
	Sample avg. (%)					0.0		36.7
	Sample %					53.2		46.8
Historical growth	Universe avg.	0.2	0.1	-0.2	0.0	0.1	0.2	1.7
	Sample avg.			-0.1	0.0	0.1	0.2	0.7
	Sample %			3.0	36.7	24.1	26.6	10.1

(b) Table A1, Panel B: public survey firms

Table A1: Comparing the survey sample to Compustat.

7 Short summary

- The paper studies how CEOs and CFOs share decision-making authority for five major corporate policies.
- Delegation is not the same across policies. CEOs dominate M&A more than investment or capital allocation.
- Delegation increases when CEOs are more likely to be overloaded, especially in larger and multi-segment firms.
- Delegation decreases when CEOs are more knowledgeable, as measured by tenure, finance career background, or MBA status.
- Policy-level information needs matter: CEO knowledge has a smaller effect for capital allocation and investment because these policies require divisional input.
- Capital allocation uses formal rules such as NPV, but also soft information such as manager reputation, confidence, gut feel, politics, and cash-flow timing.
- Non-U.S. executives report more corporate politics and balanced allocation than U.S. executives.
- The paper is descriptive and survey-based, so its strongest contribution is direct measurement of within-firm decision processes rather than causal estimation.

8 Conclusion

8.1 Core conclusion

Graham, Harvey, and Puri show that corporate finance decisions are not made by faceless firms. They are made by individuals inside organizations, and the allocation of decision rights depends on the information structure of the decision, CEO knowledge, firm complexity, and the human process of internal capital allocation.

8.2 Economic intuition

The intuition is a tradeoff between information and control. A CEO can retain control, but doing so is costly when the firm is large or the decision requires local information. Delegating lets the CEO use the information of managers closer to the project, but it also gives up control and may introduce agency concerns. The optimal degree of delegation depends on where the relevant information is located.

8.3 Incremental contribution revisited

The paper advances the literature by directly measuring decision authority for high-level corporate policies. It shows that the extent of delegation varies across policies, not just across firms. It also connects this variation to theoretical mechanisms: overload, knowledge, incentives, and information needs.

8.4 Implications for corporate finance

The findings imply that corporate finance choices cannot be fully understood from balance sheet variables alone. A firm's leverage, investment, payout, or acquisition decisions may depend on who has authority inside the firm and on the CEO's background and workload.

8.5 Implications for internal capital markets

Internal capital markets are not purely mechanical NPV machines. NPV is important, but manager reputation, confidence, cash-flow timing, and gut feel also shape allocations. This suggests that informal information and relational capital inside firms may be central to how investment dollars are distributed.

8.6 Limitations

The analysis is based on self-reported survey data and cannot establish causality. The survey is anonymous, so the authors cannot directly match responses to realized firm outcomes. The measures of delegation are coarse and reflect executives' perceptions. The sample is broad but not necessarily representative of all firms.

8.7 Takeaway

The enduring takeaway is that delegation inside firms is structured, policy-specific, and economically meaningful. CEOs delegate when they need information or face overload, and retain authority when their own knowledge is valuable. Capital allocation combines formal finance with human judgment.